

Magnolia Terrace

Investment / Sales Offering Memorandum and Underwriting Reconciliation | Raleigh, NC | As of August 31, 2026 | Original fictional evaluation material - no real transaction

Executive Summary

Magnolia Terrace is a 48-unit, 40,800 square foot multifamily property in Raleigh, North Carolina, offered for investment/sale with an accompanying financing analysis. The certified property manager rent roll dated August 31, 2026 controls physical occupancy and scheduled rent. Forty-four suites are in active possession, one suite (045) is pending with no possession taken, and three suites (046-048) are vacant, producing unit occupancy of 0.9167 and area occupancy of 0.9123.

Underwritten effective gross income is \$942,480 on the prescribed stabilized basis: all-suite scheduled monthly rent from the certified roll of \$81,200 per month (before the Suite 001 amendment) annualized to \$974,400 gross potential rent, less a 5% economic loss, plus other income of \$350 per unit per year (\$16,800). Underwritten operating expenses of \$301,106 (taxes \$102,312, insurance \$34,104, other recurring \$136,416, management fee of 3% of EGI \$28,274) yield underwritten NOI before reserves of \$641,374. After replacement reserves of \$300 per unit (\$14,400), underwritten net cash flow is \$626,974.

Capitalizing underwritten NOI before reserves at 5.7500% indicates a capitalization value of \$11,154,323. Debt sizing at 65% LTV, 1.25x minimum DSCR on NCF and a 9% minimum NCF debt yield, using a 30-year monthly amortization at the greater of the 6.2500% note rate and the 6.0000% floor, produces a maximum loan of \$6,788,545, constrained by the DSCR test. After a 1% origination fee (\$67,885), \$45,000 of closing costs and the \$4,200,000 existing payoff, net cash-out to the sponsor is \$2,475,660.

No asking price is supplied, and no photographs, market sale or rent comparables, or sponsor history are included in the packet. Their absence is disclosed rather than estimated. Source-backed analysis. Assumptions remain subject to diligence.

Property and Unit / Suite Mix

The asset comprises three unit types. Per the manager's cover note, groups A, B and C correspond in order to Studio, 1BR and 2BR. Rents shown are certified roll scheduled rents; the Suite 001 in-place rent reflects the signed amendment (\$1,850 per month).

Group / Type	Units	Occupied (active)	Area SF each	Total area SF	Sched. rent / mo
A - Studio	16	15	700	11,200	\$1,500
B - 1BR	16	15	820	13,120	\$1,650
C - 2BR	16	14	1030	16,480	\$1,925
Total	48	44	-	40,800	\$81,200

Lease and Occupancy Analysis

The controlling roll is the certified rent roll as of 2026-08-31 (selected roll date). An archived roll dated 2026-06-30 shows lower scheduled rents (\$1,425 / \$1,575 / \$1,850) and is stale; it is retained for audit trail only and is not used in underwriting. This is a known, resolvable source conflict resolved by document date, not an unresolved item.

All 48 suites carry a stated lease expiration of 2029-08-31, roughly three years beyond the evaluation date. There is therefore no active suite expiry within the next twelve months and no near-term rollover exposure on the supplied documents.

Suite 001 has an executed lease at \$1,500 per month for 700 SF expiring 2029-08-31, with a \$3,000 security deposit and no free-rent concession as of the evaluation date. A signed amendment executed July 20, 2026 and effective August 1, 2026 increases monthly rent by \$350, all other terms unchanged, so the Suite 001 contractual in-place rent is \$1,850 per month. Annual in-place rent from the 44 occupied suites on executed documents (including the amendment) is \$894,600. The packet contains no unsigned rent proposal.

The manager's headline of 45 of 48 leased counts the pending suite as leased even though possession has not been taken. Physical occupancy per certified detail is 44 of 48. The pending suite is treated as unoccupied for occupancy statistics in this analysis; it nonetheless carries scheduled rent in the prescribed all-suite gross potential rent, which is a stabilized assumption rather than a statement of current possession.

Occupancy measure	Value
Total units	48
Occupied units (active possession)	44
Pending units (no possession)	1
Vacant units	3
Total area SF	40,800
Occupied area SF	37,220
Unit occupancy (decimal)	0.9167
Area occupancy (decimal)	0.9123
Annual in-place rent (executed)	\$894,600
Suite 001 monthly rent (post-amendment)	\$1,850

Historical versus Underwritten Financials

The trailing twelve months ended August 31, 2026 is a cash operating statement. Reported collections were \$876,960 and reported NOI was \$604,128, computed before any management fee and before replacement reserves. The roof replacement is identified as a capital improvement and is booked at zero in repairs, with no

recurring repair component included; the historical ledger therefore does not carry capital cost inside operating expenses.

Underwritten NOI of \$641,374 exceeds reported T12 NOI by \$37,246. The bridge is definitional: underwriting applies a prescribed stabilized all-suite gross potential rent with a 5% economic loss and \$350 per unit of other income (reimbursement income already included and not double counted), and adds a 3% management fee that the historical cash statement omits. Net cash flow further deducts \$14,400 of replacement reserves that the historical statement does not carry. Historical NOI, underwritten NOI and underwritten NCF are distinct measures and are labeled separately throughout.

Line	T12 actual (09/2025-08/2026)	Underwritten (stabilized)
Gross potential rent	not presented (collections basis)	\$974,400
Economic loss at 5%	n/a	(\$48,720)
Other income (\$350/unit)	included in collections	\$16,800
Total revenue / EGI	\$876,960 collections	\$942,480
Real estate taxes	(\$102,312)	(\$102,312)
Insurance expense	(\$34,104)	(\$34,104)
Other recurring operating expenses	(\$136,416)	(\$136,416)
Management fee (3% of EGI)	none reported	(\$28,274)
Roof replacement in repairs	\$0 (capital, excluded)	excluded
NOI before reserves	\$604,128 (reported)	\$641,374
Replacement reserves (\$300/unit)	not deducted	(\$14,400)
Net cash flow	not presented	\$626,974

Valuation, Debt Sizing and Sources / Uses

Underwritten NOI before reserves is capitalized at 5.7500%, indicating \$11,154,323 of capitalization value. This is an income-approach indication from the prescribed assumptions only; no market sale comparables are supplied to corroborate the rate, and no asking price is provided.

Sizing is tested against all three constraints on the underwritten figures. The DSCR test at 1.25x on NCF, amortized over 30 years with monthly payments at the 6.2500% sizing rate (the greater of the note rate and the 6.0000% floor, so the floor is not binding), is the governing test at \$6,788,545. The LTV test permits \$7,250,310 and the 9% NCF debt yield test permits \$6,966,373. Although the first 24 months are interest-only, sizing uses the amortizing payment as instructed. At the sized loan, annual debt service is approximately \$501,579, DSCR is 1.25x and the NCF debt yield is 0.0923.

Proceeds fully retire the \$4,200,000 existing loan and fund transaction costs, leaving positive net cash-out of \$2,475,660. There is no refinance shortfall; no additional equity is required at the base case.

Sizing / sources and uses	Amount
Capitalization value at 5.7500%	\$11,154,323
LTV limit at 65.00%	\$7,250,310
DSCR limit at 1.25x (6.2500%, 30-yr amort)	\$6,788,545
Debt yield limit at 9.00% of NCF	\$6,966,373
Maximum loan (binding: DSCR)	\$6,788,545
Loan to capitalization value	0.6087
Source: sized first mortgage	\$6,788,545
Use: existing loan payoff	(\$4,200,000)
Use: origination fee at 1.00%	(\$67,885)
Use: closing costs	(\$45,000)
Net cash-out to sponsor	\$2,475,660

Sensitivity

The workbook contains a live sensitivity grid of maximum loan across cap rates of 5.25% to 6.25% and sizing rates of 6.00% to 7.00%, holding underwritten NOI and NCF constant. At the base 5.75% cap rate the DSCR test governs across most of the tested rate range, so maximum loan moves with the sizing rate rather than with value; the debt yield ceiling of \$6,966,373 caps proceeds at the lowest tested sizing rate, and the LTV ceiling becomes binding only at higher cap rates.

Indicative maximum loan at the 5.75% cap rate: approximately \$6,966,000 at a 6.00% sizing rate (debt yield binding), \$6,789,000 at 6.25%, \$6,613,000 at 6.50% and \$6,283,000 at 7.00%. All figures recompute live in the workbook.

Risks and Missing Diligence

Risk assessments below follow the instruction to evaluate each item independently and to resolve known source conflicts rather than leave them open.

Risk	Assessment	Basis
Pending unit counted in occupancy	present	Manager headline counts 45 of 48 leased including a pending suite with no possession (manager-cover.pdf p.1; certified roll D49)
Near-term rollover within 12 months	absent	All active suite expirations are 2029-08-31, beyond the horizon
Missing insurance evidence	absent	Policy declaration supplied: \$2,000,000 GL aggregate, 2026-07-01 to 2027-06-30
Capital expenditure in operating expenses	absent	Roof replacement booked at \$0 in repairs and identified as capital
Unsigned rent change relied upon	absent	Only rent change is a signed amendment executed 2026-07-20; no unsigned proposal in packet
Temporary free rent / concession	absent	Lease excerpt states no free-rent concession as of the evaluation date
Sizing rate floor binding	absent	6.0000% floor is below the 6.2500% note rate
Refinance shortfall	absent	Sized loan exceeds payoff plus costs by \$2,475,660

Missing Diligence and Explicit Unknowns

The following are not supplied and remain explicitly unknown, which is distinct from zero: asking price or offering guidance; photographs and site imagery; market sale and rent comparables; sponsor track record and credentials; a capital expenditure budget or property condition reserve schedule; tax and insurance renewal quotes; utility and reimbursement detail beyond the aggregate already embedded in revenue; and tenant credit or delinquency detail.

Legal, environmental, property condition and title reviews have not been completed. These are routine pending diligence items; the packet supplies no evidence of contamination, litigation, fraud or structural failure, and none is asserted here. The stale June 30, 2026 rent roll should be formally superseded in the data room, and the pending suite's possession date and the Suite 001 amendment should be confirmed in the lease file at closing.

Source Notes

All figures derive solely from the supplied packet; no external research or outreach was used.

File	Location	Facts used
rent-roll-certified.xlsx	Rent Roll A2:G52	Controlling roll dated 2026-08-31: 48 units, 44 active, 1 pending, 3 vacant, areas, rents \$1,500/\$1,650/\$1,925, expirations 2029-08-31
rent-roll-archive.xlsx	Rent Roll A2:G52	Stale roll dated 2026-06-30 with lower rents; superseded and excluded
lease-001.pdf	p.1	Suite 001 executed lease \$1,500/mo, 700 SF, expiry 2029-08-31, \$3,000 deposit, no free rent
lease-correspondence.pdf	p.1	Signed amendment executed 2026-07-20, effective 2026-08-01, +\$350/mo
operating-statement.pdf	p.1	T12 collections \$876,960; tax \$102,312; insurance \$34,104; other \$136,416; roof capital \$0; reported NOI \$604,128
insurance.pdf	p.1	GL aggregate limit \$2,000,000; term 2026-07-01 to 2027-06-30
manager-cover.pdf	p.1	Raleigh NC multifamily; A/B/C = Studio/1BR/2BR; 45 of 48 headline including pending
underwriting-instructions.pdf	p.1	Prescribed GPR method, 5% loss, \$350/unit other income, expense lines, 3% management, \$300/unit reserves, 5.75% cap, 65% LTV, 1.25x DSCR, 9% debt yield, 6.25% note vs 6.00% floor, 1% fee, \$45,000 costs, \$4,200,000 payoff
diligence-status.pdf	p.1	Legal, environmental, PCA and title reviews incomplete; routine pending items

Deliverables and Model Map

Reconciled underwriting workbook with live formulas: underwriting-v1.xlsx (sheets: Rent Roll, Underwriting, Debt, Sensitivity, Sources). Input cells: gross potential rent Underwriting!B4; cap rate Underwriting!B25; sizing rate Debt!B10. Output cells: uw_egi Underwriting!B10; uw_noi Underwriting!B19; uw_ncf Underwriting!B22; capitalization_value Underwriting!B26; maximum_loan Debt!B17; net_cash_out Debt!B32.

This offering memorandum PDF accompanies the workbook. Source-backed analysis. Assumptions remain subject to diligence.